

There is a lot of unfairness in the current tax treatment of capital gains.

Firstly, most capital gains are not indexed for inflation (except for long-term capital gains tax on capital assets like a house, farm, etc.). The seller pays tax not only on the real gain in purchasing power but also on the illusory gain attributable to inflation. The inflation penalty is one reason that, historically, capital gains have been taxed at lower rates than ordinary income. In fact, most capital gains were not gains of real purchasing power at all, but simply represent the maintenance of principle in an inflationary world.

Secondly, individuals are permitted to deduct only a portion of the capital losses that they incur, whereas they must pay taxes on all of the gains. This introduces an unfriendly bias in the tax code against risk taking. When taxpayers undertake risky investments, the government taxes fully any gain that they realize if the investment has a positive return. But the government allows only partial tax deduction if the venture goes sour and results in a loss.

Thirdly, there exists a form of double taxation on capital formation. Ideally, a government should choose to tax either the value of an asset or its yield, but it should not tax both. Take, for example, the capital gains tax paid on pharmaceutical stock. The value of the stock is based on the discounted present value of all of the future proceeds of the company. If the company is expected to earn ₹100,000 a year for the next 20 years, the sales price of the stock will reflect those returns. The "gain" that the seller realizes from the sale of the stock will reflect those future returns and thus the seller will pay capital gains tax on the future stream of income. But the company's future ₹100,000 annual returns will also be taxed when they are earned by the company. So the ₹100,000 in profits is taxed twice, once when the owners sell their shares of stock and secondly when the company actually earns the income. That is why many tax analysts argue that the most equitable rate of tax on capital gains is zero.